

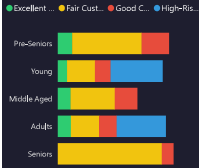
NOVA BANK: THE CREDIT RISK

— Learning from the Past, Strengthening the Future



Borrower Segmentation

Defaults are highest among younger borrowers with lower credit scores



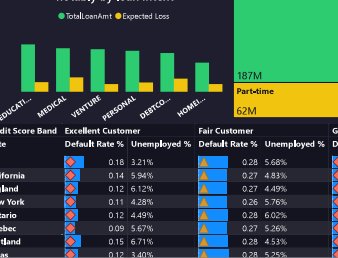
Lower income and low credit scores show the highest default rates

Defaults are higher among borrowers with unstable employment

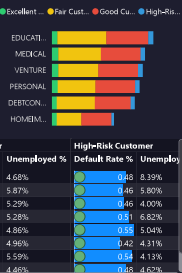


Key Risk & Performance Indicators

Loan amounts and expected losses vary notably by loan intent



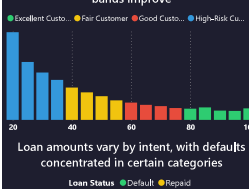
Loan amounts differ by intent, with higher sums concentrated in stronger credit score bands



Loan Term and Risk



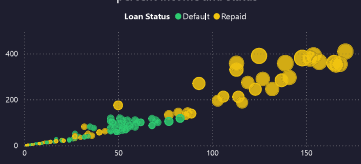
Default rates drop as credit scores and score bands improve



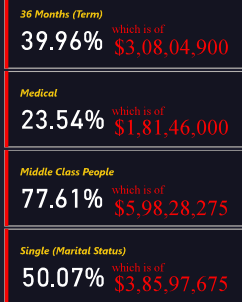
Default rates rise with lower loan grades and weaker credit score bands



Loan amount, income, and credit score distributions shift with loan percent income and status

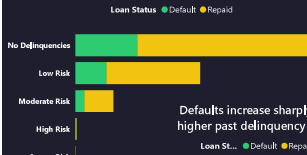


Loss Sector

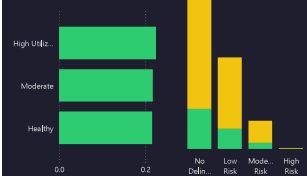


Early Warning Signals

Higher past delinquencies lead to larger risky loans

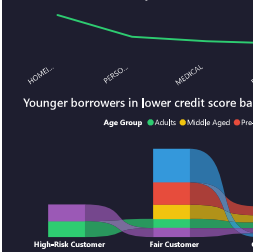


Defaults increase sharply with higher past delinquency bands

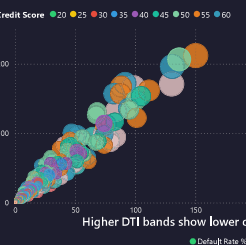


Policy & Strategy Insights

Interest rates differ notably across loan intents



Higher loan amounts with lower credit scores show rising debt, higher credit use, and more defaults



WA Interest rates vary across loan intents.

